LexScan

AI CONTRACT INTELLIGENCE

← Analyse another contract

Service Agreement

This Service Agreement is severely one-sided, placing the Service Provider in an extremely vulnerable position with virtually no protections. Key concerns include unlimited liability, unilateral termination by the Client without compensation for work performed, an exorbitant termination penalty for the Service Provider, an overly broad non-compete clause, and the Client's ability to unilaterally amend the agreement and withhold payment indefinitely. The contract is designed to transfer all risk and intellectual property to the Client while offering minimal to no rights or recourse to the Service Provider.

98
RISK

CRITICAL

TEST.TXT

2.9K CHARS

Parties Involved

TechCorp Solutions Pvt. Ltd. (Service Provider)

GlobalRetail Enterprises Inc. (Client)

Key Dates

Agreement Effective Date	January 15, 2025

Dangerous Clauses 8

CRITICAL

Unilateral Scope Change & No Compensation

Services & Payment

"The Client may change the scope of work without notice and without any obligation to

Suggested Improvements 8

Balanced Scope Management

BEFORE

The Client may change the scope of work without notice and without any obligation to

AFTER

Any changes to the scope of work must be mutually agreed upon in writing by both Client

```
compensate for additional work
performed."
```

This clause allows the Client to demand unlimited additional work without any obligation to pay the Service Provider, effectively making the Service Provider's compensation unpredictable and potentially non-existent for significant effort.

CRITICAL

Unilateral Payment Withholding & Late Payment Waiver

Payment

```
"Client reserves the right to
withhold payment indefinitely
if it determines, in its sole
judgment, that deliverables are
unsatisfactory. Service
Provider waives all rights to
interest on late payments."
```

The Client can arbitrarily decide deliverables are 'unsatisfactory' and withhold payment indefinitely, leaving the Service Provider without recourse for earned income. Waiving interest on late payments further disincentivizes timely payment by the Client.

CRITICAL

Overly Broad Intellectual Property Assignment

IP Rights

```
"All work product, inventions,
code, designs, and any other
materials created by Service
Provider, whether during
working hours or personal time,
whether related to the
Agreement or not, shall be the
exclusive property of the
Client."
```

This clause attempts to claim ownership of *all* intellectual property created by the Service Provider, even personal projects unrelated to the Client's

compensate for additional work performed.	and Service Provider. If a change results in additional work, the parties shall negotiate in good faith an equitable adjustment to the compensation and/or timeline.

💡 *Ensures fair compensation for additional work and prevents the Client from unilaterally expanding the project without cost implications.*

✏️ Fair Payment Terms and Dispute Resolution

BEFORE	AFTER
Client reserves the right to withhold payment indefinitely if it determines, in its sole judgment, that deliverables are unsatisfactory. Service Provider waives all rights to interest on late payments.	Payment shall be made within 30 days of invoice. If Client reasonably determines deliverables are unsatisfactory, Client shall provide written notice within 10 days of receipt, detailing deficiencies. Service Provider shall have 15 days to cure. If not cured, Client may withhold payment for the deficient portion. Overdue payments shall accrue interest at 1.5% per month or the maximum allowed by law.

services and outside of working hours. This is an extreme overreach and could strip the Service Provider of their entire portfolio and future earning potential.

CRITICAL

Unilateral Termination & Punitive Service Provider Termination

Termination

```
"Client may terminate this Agreement immediately at any time without cause and without any notice. Upon termination, Service Provider shall not be entitled to any compensation for work completed but not yet invoiced. Service Provider may not terminate this Agreement without providing 180 days written notice and paying a termination penalty of $50,000."
```

The Client can terminate at any moment without cause or notice, and the Service Provider loses all payment for work in progress. Conversely, the Service Provider is effectively trapped, requiring 6 months' notice and a substantial $50,000 penalty to terminate, making it nearly impossible to exit the agreement.

CRITICAL

Unlimited Service Provider Liability & Minimal Client Liability

Liability

```
"Service Provider shall be liable for any and all damages, losses, costs, and expenses arising from or related to the services, whether direct, indirect, incidental, or consequential, without limitation. Client's liability to Service Provider shall be
```

💡 *Establishes clear payment deadlines, provides a fair process for addressing unsatisfactory deliverables, and ensures compensation for late payments, protecting the Service Provider's cash flow.*

✏️ Reasonable IP Assignment

BEFORE

All work product... created by Service Provider, whether during working hours or personal time, whether related to the Agreement or not, shall be the exclusive property of the Client.

AFTER

All work product, inventions, code, designs, and any other materials created by Service Provider *specifically for the Client and within the scope of services under this Agreement* shall be the exclusive property of the Client. Service Provider retains all rights to intellectual property created outside the scope of this Agreement.

💡 *Limits IP assignment to only the work performed for the Client under the contract, protecting the Service Provider's personal and unrelated intellectual property.*

✏️ Mutual & Balanced Termination Rights

BEFORE

Client may terminate

AFTER

Either party may terminate

```
limited to $1 in all
circumstances."
```

This clause imposes unlimited liability on the Service Provider for any damages, while limiting the Client's liability to a symbolic $1. This creates catastrophic financial risk for the Service Provider, potentially leading to bankruptcy, with no reciprocal risk for the Client.

CRITICAL

Overly Broad Non-Compete Clause

Restrictive Covenants

```
"Service Provider agrees not to
provide services to any
company, anywhere in the world,
in any industry, for a period
of 5 years following
termination of this Agreement."
```

This non-compete is extremely broad in scope (worldwide, any industry) and duration (5 years). It would effectively prevent the Service Provider from working in their field anywhere, making it impossible to earn a living and is likely unenforceable in many jurisdictions, but still a significant threat.

CRITICAL

Unfair Dispute Resolution & Cost Allocation

Dispute Resolution

```
"All disputes shall be resolved
exclusively in courts located
in Delaware, USA. Service
Provider waives any right to a
jury trial. Service Provider
shall bear all legal costs
regardless of the outcome of
any dispute."
```

This clause forces the Service Provider to litigate in a potentially inconvenient and expensive jurisdiction (Delaware, USA), waives their right to a jury trial,

this Agreement immediately at any time without cause and without any notice. Upon termination, Service Provider shall not be entitled to any compensation for work completed but not yet invoiced. Service Provider may not terminate this Agreement without providing 180 days written notice and paying a termination penalty of $50,000.	this Agreement for convenience upon 30 days written notice to the other party. Upon any termination, Client shall pay Service Provider for all services performed and expenses incurred up to the effective date of termination. Neither party shall be subject to a termination penalty for termination for convenience.

💡 *Creates fair and mutual termination rights, ensures the Service Provider is paid for all work completed, and removes the punitive termination penalty.*

✏️ Mutual & Capped Liability

BEFORE	AFTER
Service Provider shall be liable for any and all damages... without limitation. Client's liability to Service Provider shall be limited to $1 in all circumstances.	Except for claims arising from gross negligence or willful misconduct, each party's total aggregate liability under this Agreement shall be limited to the total fees paid or payable by

and most critically, forces them to pay all legal costs even if they win the dispute. This makes any legal challenge prohibitively expensive and risky for the Service Provider.

CRITICAL

Unilateral Amendments by Client

Contract Management

```
"Client may amend any term of this Agreement at any time by providing 24-hour email notice to Service Provider. Continued performance of services shall constitute acceptance of any amendments."
```

The Client can unilaterally change any term of the contract with minimal notice, and the Service Provider's continued work is deemed acceptance. This means the Service Provider could be bound by new, unfavorable terms without genuine consent or negotiation.

Client to Service Provider in the 12 months preceding the event giving rise to the claim.

💡 *Establishes a reasonable and mutual cap on liability, preventing catastrophic financial exposure for the Service Provider while still holding both parties accountable for their actions.*

✏️ Reasonable Non-Compete (or Removal)

BEFORE

Service Provider agrees not to provide services to any company, anywhere in the world, in any industry, for a period of 5 years following termination of this Agreement.

AFTER

Service Provider agrees not to provide similar software development and maintenance services to direct competitors of Client within a 50-mile radius of Client's primary business location for a period of 1 year following termination of this Agreement.

💡 *Narrows the non-compete to a legally defensible scope (specific industry, geographic area, and duration) or ideally, remove it entirely if not critical for Client's legitimate business interests.*

✏️ Fair Dispute Resolution

BEFORE

AFTER

All disputes shall be resolved exclusively in courts located in Delaware, USA. Service Provider waives any right to a jury trial. Service Provider shall bear all legal costs regardless of the outcome of any dispute.

Any dispute arising out of or relating to this Agreement shall be resolved by binding arbitration in [Mutually Agreed City/State], in accordance with the rules of the American Arbitration Association. The prevailing party in any dispute shall be entitled to recover its reasonable legal costs and attorneys' fees.

💡 *Provides a more neutral and potentially less costly dispute resolution mechanism (arbitration) and ensures that the winning party can recover their legal expenses, promoting fairness.*

✏️ Mutual Agreement for Amendments

BEFORE

Client may amend any term of this Agreement at any time by providing 24-hour email notice to Service Provider. Continued performance of services shall constitute acceptance

AFTER

This Agreement may only be amended or modified by a written instrument signed by duly authorized representatives of both Client and Service Provider.

```
of any
amendments.
```

Ensures that all changes to the contract are mutually agreed upon and formally documented, preventing unilateral imposition of terms.

Missing Clauses to Add

5

Force Majeure

Protects both parties from liability for non-performance due to unforeseeable and uncontrollable events (e.g., natural disasters, war, pandemics).

```
Neither party shall be liable for any failure or delay in performing its
obligations under this Agreement if such failure or delay is caused by
circumstances beyond its reasonable control, including but not limited to acts
of God, war, terrorism, riots, embargoes, acts of civil or military authorities,
fire, floods, accidents, strikes, or shortages of transportation, facilities,
fuel, energy, labor or materials.
```

Client Indemnification

The Client should indemnify the Service Provider against claims arising from materials or instructions provided by the Client, especially concerning intellectual property infringement.

```
Client shall indemnify, defend, and hold harmless Service Provider from and
against any and all claims, damages, losses, liabilities, costs, and expenses
(including reasonable attorneys' fees) arising out of or related to (a) any
materials, data, or information provided by Client to Service Provider, or (b)
Service Provider's compliance with Client's specific instructions.
```

Data Protection and Privacy

Crucial for software development agreements where client or user data may be handled. Defines responsibilities for data security, compliance with privacy laws (e.g., GDPR, CCPA), and data breach protocols.

```
Both parties agree to comply with all applicable data protection and privacy
laws and regulations. Service Provider shall implement appropriate technical and
organizational measures to protect Client Data against unauthorized or unlawful
processing and against accidental loss, destruction, or damage. Client shall
ensure it has all necessary rights and consents to provide data to Service
Provider.
```

Severability

Ensures that if one part of the contract is found to be invalid or unenforceable, the remaining provisions remain in full force and effect.

```
If any provision of this Agreement is held to be invalid or unenforceable, the
remaining provisions shall remain in full force and effect. The invalid or
unenforceable provision shall be replaced by a valid and enforceable provision
that most closely achieves the intent and economic effect of the original
provision.
```

Entire Agreement

Prevents parties from relying on prior discussions, promises, or agreements that are not explicitly included in the final written contract.

```
This Agreement constitutes the entire agreement between the parties with respect
to the subject matter hereof and supersedes all prior and contemporaneous
agreements, understandings, negotiations, and discussions, whether oral or
written, of the parties.
```

What the Contract Does Well

- ✓ The contract clearly identifies the parties and the effective date.
- ✓ The contract explicitly states the type of services to be provided (software development and maintenance), though the terms around them are problematic.

Negotiation Leverage Points

1. Emphasize that the current terms are so one-sided they create an unsustainable and high-risk partnership for the Service Provider, which could ultimately jeopardize the project's success for the Client.
2. Highlight that many clauses (e.g., the non-compete, unlimited IP assignment, unlimited liability, unilateral amendments) are likely unenforceable in many jurisdictions and could lead to costly legal challenges for the Client.
3. Propose a 'win-win' approach: a balanced contract fosters trust, commitment, and higher quality work from the Service Provider, ensuring a more stable and productive long-term relationship.

4. Suggest benchmarking against industry standards for service agreements, which typically include mutual liability caps, fair termination clauses, and reasonable IP assignments.

5. Be prepared to walk away if the Client is unwilling to negotiate reasonable terms, as the current contract presents an existential threat to the Service Provider's business.

⚠️ LexScan is an AI-powered tool for informational purposes only. This analysis does not constitute legal advice. Always consult a qualified legal professional before signing any contract.